

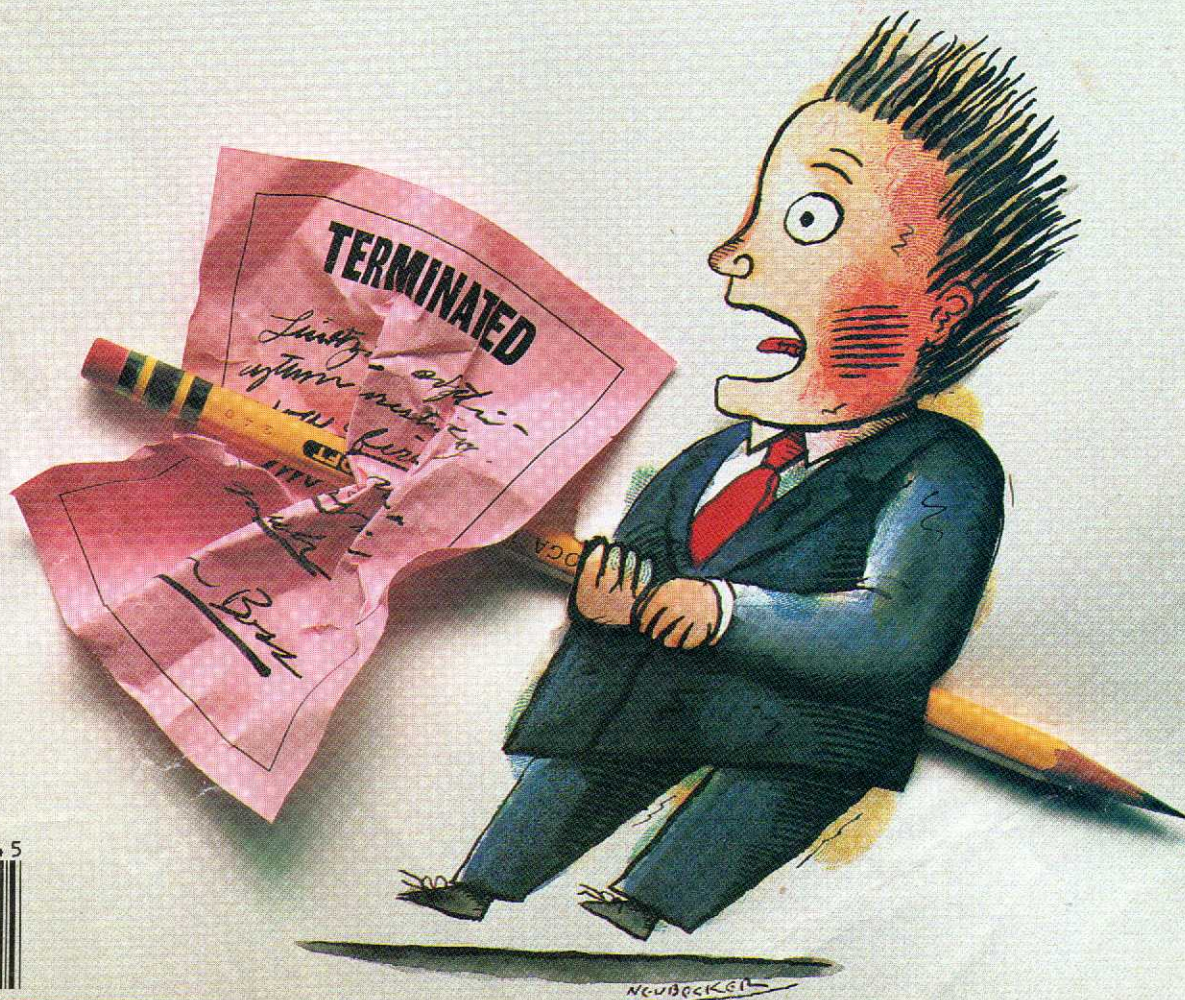
THE GULF BUILDUP
Are 300,000 Troops Enough?

Newsweek

November 5, 1990 : \$2.50

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Add marketing expenses, a sizable profit, and the result can be a gap of almost 2,000

called Rodion, which said it bought the Zantac from a reputable Greek wholesaler.

ed at London's Heathrow Airport last year. Britain's Glaxo, one of the world's largest drug manufacturers, has discovered four

Confessions of a Counterfeiter

Javid Naghdi has traded his business suits for an orange prison jumpsuit and blue sneakers. But he retains the con man's pitch that brought him notoriety in the U.S. Justice Department as "the most dangerous prescription-drug counterfeiter known to the FDA." He admits that he used his pharmacy training to put fake arthritis pills on the U.S. market. His excuse? Others do it, he said last week in the U.S. Penitentiary at Atlanta, where he is serving a 14-year sentence that began in May. "Half the drugs in this country are counterfeit," he said, a claim experts reject as nonsense.

Pharmacists are used to trading illegally in manufacturers' samples, said Naghdi, 30. The California wholesal-

ers who bought fake Naprosyn that he passed off as overstock in 1987 "knew it wasn't from the manufacturer," he said without offering evidence. He complained about drug firms' profits. "Do you know how much it costs to make a bottle

of [the ulcer drug] Tagamet?" he demanded. "Less than a dollar, and they sell it for over \$50." Absurd, says the manufacturer.

Naghdi's 1,201 bottles of fake Naprosyn brought \$192,680 on expenses of \$21,185 for readily available pill-pressing equipment, bulk supplies and printing. They contained mainly aspirin. They could have killed patients with ulcers or allergies who unwittingly took them. They looked perfect—right down to the bar code that pharmacists scan electronically to verify a drug's authenticity. They reached dealers and drugstores from Carrollton, Texas, to Seattle. A California pharmacist sounded the alarm; the pills smelled wrong.

After he was caught,

Naghdi jumped bail and set up in London. The U.S. Customs Service trapped him in an elaborate sting operation when he offered brokers 9 million bottles of three best-selling drugs: Tagamet, Naprosyn and the antibiotic Anspor. Naghdi's is a cautionary tale. It eclipsed the last big U.S. counterfeiting case, when more than a million spurious birth-control pills were smuggled in through Panama between 1981 and 1984. Counterfeiting is "a growing problem that people don't recognize," said Phillip Halpern, the U.S. prosecutor in San Diego who convicted Naghdi. "The ease with which Naghdi was able to obtain his raw materials is frightening." Are more Naghdis still at large? "Certainly there are," he said.

TOM MASLAND with
VERN E. SMITH in Atlanta and
JOHN TALIAFERRO in San Diego

Cautionary tale: Naghdi

ROB NELSON—BLACK STAR

